Unit1: What is Strategy

What is a corporate strategy

A corporate strategy is the long-term goal of an organisation which is flexible to allow revision of plans and make adjustments in changing market environments. Market environment include: change in demand for products/services, loss in market share, acquisition of new companies, introduction of new product/service etc. Alfred Chandler, Michael Porter and Henry Mintzberg are the leading corporate strategist and they define corporate strategy as follows:

1. Alfred Chandler: "The determination of long-term goals and objectives of an enterprise, and the adoption of courses of action and the allocation of *resources(available means to the organisation)* necessary for carrying out these goals". Based on the market situation both the strategy and structure on the firm must be adequately adjusted and resources reallocated.

2. Michael Porter: With the focus on *competition*, "strategy is the creation of a unique and valuable position, involving a different set of activities". This means that strategy is not about long-term view rather, it should focus on developing and maintaining competitive advantage linked to a clear and distinctive feature.

3. Henry Mintzbertg: Strategy is "a pattern in a stream of decisions". With focus on *vision*, the pattern of decisions made to achieve the vision constitute the corportate strategy. Depending on the odds, the vision may be adjusted, thus requiring a change in strategy. It is highly recommended to develope a flexible strategy, to allow for adjustments during high and downtimes. Rigid strategies are in most cases disadvantageous to the organisation, as they psychologically hook the organisation to stale objectives. To develop a *flexible and sustainable strategy, companies must gather and thoroughly analyse detailed information*. Adequate time should be reserved for this activity. There are developed techniques that managers can use to analyse company issues and changes in market in order to make better decisions.

What Has To Be Taken Into Consideration When Making Strategic Decisions?

In Practice, managers take the following in to consideration

- long-term orientation of the organisation
- purpose of the organisation
- attainment of a competitive advantage
- expandability of resources and the efficiency of the orgaisation
- *corporate philosophy*: These are the main principles by which an organisation operates.
- expectations of stakeholders

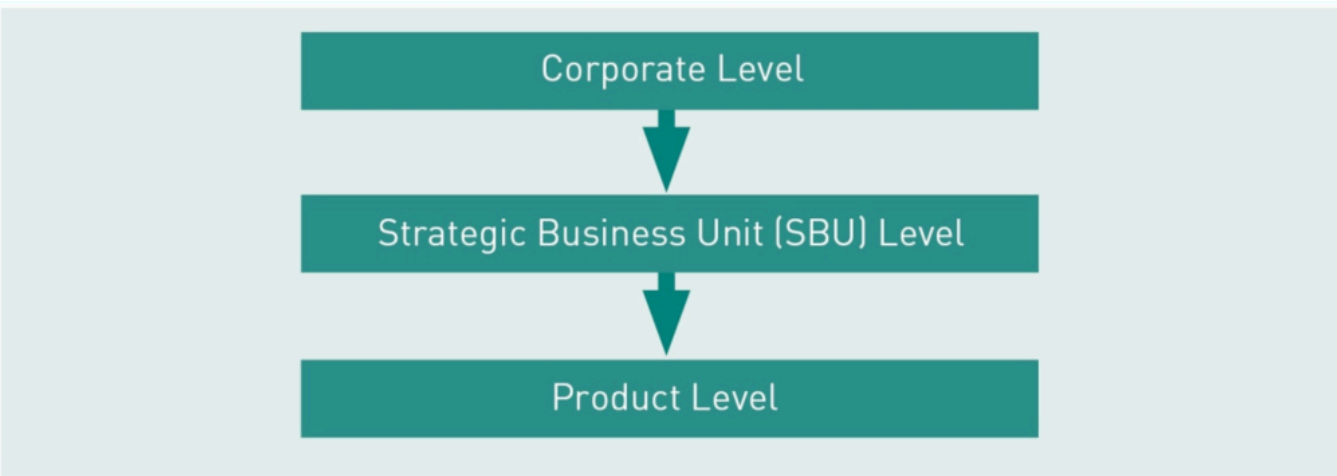
Considering the usecase, it can be determined that the management did not consider these points because:

- long-term orientation of the organisation: Company A did not assess their need before acquiring company B
- purpose of the organisation: B was serving a different market, despite the fact that their products were similar

- competitive advantage: A was already a leader in manufacturing medical equipment due to *its core technology*.
- expandability of resources and the efficiency of the organisation: A should have considered technological advancements to improve its internal processes e.g developing a data management system
- Corporate philosophy: A should have focused of providing qualitative products
- expectation of stakeholders: A should have evaluated their situation to determine whether aquiring B will generate an added.

Who Takes Part in Developing a Strategy?

Depending on the size of an organisation, there are various strategic levels which play different roles when creating a strategic plan.



Source: Created on behalf of IU (2015).

- Corporate Level (Upper Management): This level defines the *vision, mission and purpose* of the organisation. It also evaluated/analyse the performance and growth potential of the *Strategic Business Units (SBUs)* to make adequate decisions regarding the budget for the SBUs. Usually, SBUs with a better cut obtain a higher budget.
- Strategic Businss Units (SBUs): This is a business unit that could act independently from other company's business units in the market place. Each business unit is allowed to perform a SWOT analysis of their business unit and share the results of their analysis with the upper management as this can contribute to the overall strategic plan.
- Product Level: Situation analysis, marketing strategy and business plans for respective products are developed at this level. The actions that must be taken to implement the business plans are also specified at this level.

What is Included in a Solid Strategic Plan?

To develop a solid strategic plan, an organisation needs to answers questions like:

What is their position in the market?

Companies need to analyse the following points to be able to understand their position in the market.

- Perform SWOT analysis
- the infleunce of the corporate strategy on the environment and the corporate culture
- whether the existing resources are sufficient to support the strategic goals of the organisation
- whether the strategic plan aligns with the purpose of the organisation

2. What are their Strategic Capabailities?

This helps the company to understand the availability of their strategic resources. To determine this, the following points need to be analysed

- Check whether the portfolio of the business units aligns with the strategic objectives of the company
- Check whether the business units are adequately positioned in the market place to support the overall strategy of the company
- evaluate the internal markets in which the organisation aims to operate
- determine the strategic alliances that should be formed if possible
- check whether the organisation is active in the right areas of innovation

3. how can the overall company strategy be implemented?

In planning the implementation of the strategic plan, it is important to analyse the following points.

- What process is necessary to develop a strategy
- what strategy is a good fit for the organisation and what is feasible
- what corporate structure and systems in the organisation are necessary to implement the strategic plan
- how best to manage the implementation process
- how to evaluate the strategy and
- who is responsible for the implementation process.

4. etc.

Unit2: The Strategic Environment

CASE STUDY

One of the strategic divisions of Lars Bank specializes in real estate financing. Recently, Turkey announced significant modifications to its legal framework concerning property financing. These changes are expected to simplify the process for European banks to offer real estate financing in Turkey. In response, the manager of Lars Bank instructs an employee to explore additional factors that impact the real estate financing market in Turkey. The employee is tasked with compiling a list of questions that would cover all the necessary information. A preliminary version of this list of questions is then prepared.

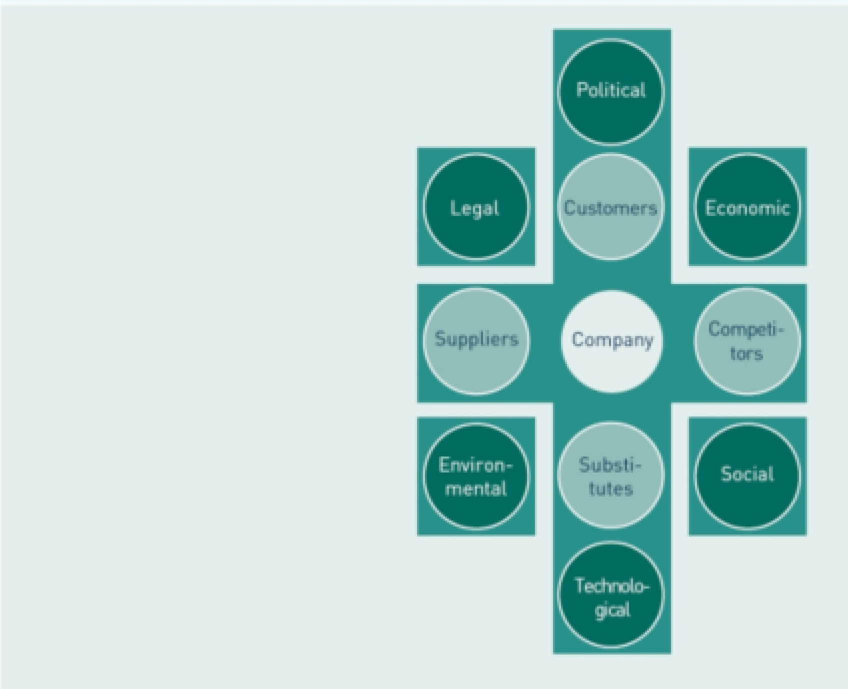
1. What business opportunities will open up for foreign financial services providers as a result of the change in the legal framework?
2. Is the market economically attractive?
3. Would Turkish customers accept foreign financial service providers?
4. Which customers should we target: private investors or real estate companies?
5. How could the customers influence the financing terms of the bank?
6. What competition already exists in the Turkish market?
7. What other European competitors might become active in the Turkish market? To what extent and how?
8. What alternative financing options are available to Turkish customers?
9. How are real estate projects sold? Who mediates real estate projects in Turkey?
10. Would the Turkish market be of interest to Lars Bank?

According to the case study, making a strategic decision requires consideration of the environment where the strategy will be implemented. To assess the environment key questions need to asked and answered. Examples as on the case study.

Where Are We in the Market Place?

The Macroenvironment

The interaction between an organisation and its environment is bidirection. This means that they both impact each other. From an organisational perspective, its business environment can be classified into Macro -and Micro. Microenvironmental factors include *competitors, suppliers, customers and substitute products* while the Macroenvironmental factors include *Political, Economic, Social, Technological, Environmental(Ecological) and Legal i.e PESTEL*. The Company is always at the center while the microenvironment is always closer to the company.



Source: Created on behalf of IU (2015).

The PESTEL Analysis is a *strategic and quantitative* method used by companies of different sizes and category to analyse the macroenvironmental factors to enable them make strategic decision. This analysis also considers changing environmental conditions that may negatively or positively impact the organisation in the future.

PESTEL Analysis of an Airline

The Macroenvironments will be evaluated to measure their impact on the business strategy.

- Political Factors

A political decision that mandates the military of a country to close its airspace will force an airline to alter their optimal flight path. This will force an airline to reroute and reschedule their flights to adapt to the political condition. Rescheduling will impact logistics which will create cost, thus negatively affecting the strategy of an airline. Additionally, flights will take longer hours which could would not only stress customers but the airline might have to increase its staff to avoid overwhelming its staff. An increase in staff means the airline will have to spend more on salaries and insurance. This further negatively affects the strategy of the airline.

- Economic Factors

Closing an air space of a country because of war will intimidate customers such that they might cancel their travel plans to certain destination. Result is that, an airline will have to stop flying to certain destinations. This will reduce their revenue.

- Social Factors

Under normal circumstances, an airline may offer tickets at discounted prices or provide means to collect bonuses. Such benefits to customers create positive experiences which can establish loyalty to the airline. As a result of airspace close, the bonus system might be adjusted to limit the number of points a customer can collect or ticket prices might increase. This can negatively impact the relationship between an airline and its customers.

- Technological Factors

Digital checkin possibility to reduce manuall work at the counter in the airport which significantly increases work efficiency and reduce workload on employees.

- Environmental or Ecological Factors

An airline is allowed to dump fuel only in specified areas. This must be respected to reduce environmental polusion. Additionally, airlines need to invest in development and purchase of planes that have optimised systems with a lower rate of air polusion.

- Legal Factors

Airlines must comply to laws and regulations otherwise they risk paying huge amounts of money on penalties and some situations they might have their license withdrawn. For instance, airlines are not allowed to overbook flights. Also, pilots must take all necessary trainings that legitimises them to fly to ensure the safety of passengers. Trainings usually cost time and money which increase cost to airlines.

The PESTEL Method can equally be used by teams and departments within an organisation to make help make decisions that will answer open questions.

The Microenvironment: Where Are We in the Market Place?

Microenvironmental factors have a direct impact on the organisation. Some of these factors as already previously listed are: suppliers, customers, substitute products, competitors etc. To take a closer look or analyse these microenvironmental factors, Michael Porter developed a *Five Forces Model* built on some assumptions. These five forces are:

1. Buyers/Customers: Analysis of their buying power
2. Competitors: Analysis of the degree of rivalry among existing competitors
3. New market entrants: Analysis of threats from new competitors
4. Substitutes: Analysis of threats from substiture products
5. Suppliers: Analysis of their negotiating power

Porter developed this five forces based on the following assumptions:

- The attractiveness of a market is defined by its structure
- This impacts the way an organisation develops its strategy for this market and
- Also reminds an organisation to take measures in their strategy to counteract competitors acting in the same market.

Elaboration of the components in the five forces model

1. **Buyers/Customers**

Here it is important to highlight that a buyer is not always the consumer. A buyer can make the purchase while he/she is not the consumer e.g A child can subscribe and pay for news letters for his/her parents while the child does not read news letters. Typically, a powerful buyer is one who purchases in large amount.

Powerful users have the capability to infleunce the price of a product. A buyer has purchasing power over an organisation when

- they buy large quantities
- product/service margin is relatively small
- the product can easily be substituted
- product/service is not of high value to the customer
- customer can make the product/service themselves

2. **Competition**

The intensity of competition in the market is reflected on the prices of the products/services of the businesses acting in the market. This is because high or intense competition lower prices which reduces product/service margins and thus reduce the profit an organisation makes. Margin is the difference between production cost and sales price.

Competition is felt in the market when competition exhibit the following characteristics:

- there are numerous companies of similar size in the market
- companies have similar strategies
- the business sector shows little growth, and therefore, an increase in sales is only possible if business is taken away from a competitor
- products or services offered in the market are undifferentiated an therefore, all companies compte on price.

3. **New market entrants**
   In some market segments, when a new business enters a market, the existing markets tend to perceive this as threat. This does not only increase competative pressure on existing business but it might force them to adjust to accomodate new entrants. To secure their market share, control price levels and protect their customer base, existing business may use one or serval threat barriers to stop or control the entrants of new businesses in their market segment. Potential market entry barriers include:

- economies of scale: an organisation needs to be of a certain size in order to be more efficient
- high initial cost or high fixed costs
- brand-loyal customers
- scarce resources e.g qualified human resources
- controlled resources by existing organisations
- high switching cost
- patents and licenses which protect the intellectual property of organisations

4. **Substitutes**
   When the product/service of a company can be substituted by a cheaper or effective product/service, then the company will loose in sales revenue which can reduce their profit. The product/service of a company can be threatened by a substitute product depending on:

- the degree of customer loyalty of the company
- the intensity of customer relationship
- the switching cost

5. **Suppliers**
   These are all the supply sources that an organisation require to produce its intented product/service. Suppliers provide inputs which could be in form of material, technology, human resource etc. The inputs are then used by the company to produce their product/service. Suppliers with stronger bargaining power can increase the prices of their supplies. By doing so, the margin between production cost and sales price of the dependent will reduce, which can significantly reduce their profit. Powerful suppliers exhibit the following characteristics:

- the market is dominated by few large suppliers
- the input to be supplied is highly specialised or rare
- the company that buys from the supplier is small and insignificant to the supplier
- the suppliers cannot be substituted
- the company that buys from the supplier has a high switching cost
- a forward integration is feasible for the supplier i.e the supplier could buy the company to whom it supplies. Findout what forward-integration mean.

Use the Lars Bank case study to answer the questions by applying porter's five forces.

Analysis, Strategic Capabilities, and the Five Forces Model

In a business context, porter's five forces can be used to analyse 3 areas of a strategic plan. These areas are:

1. *Analysis of the market attractiveness (static)*

Porter's five forces can be used to assess the market attractiveness of a company. This is relevant for a business to decide whether to enter, exit or remain in a market segment. For a company to determine its market position, it needs to evaluate its resources and competences, as well as the position of its competitors in the market. This is relevant for making strategic decisions. To achieve this, porter's five forces can be used to measure the influence of the forces on the company and on its competitors.

2. *Analysis of the development of the market attractiveness (dynamic)*

Porter's five forces can be used in alongside the PESTEL analysis to perform a trend analysis of the business to forecast its future attractiveness. Trend analysis shows both the development of the business and its changes overtime. The PESTEL analysis can infleunce one or more of the five forces. This infleunce can give more weight or importance to some forces than the others, depending on the situation.

3. *Analysis of the strategic possibilities*

Analysis of the intensity of the forces on the organisation will provide insights on the opportunities that a company should consider exploring or use to their advantage. In some cases, the company might have to make strategic decisions for reorientation or repositioning in the market. Reorientation may include changing product/service line, creating partnerships etc.

What are the strategic options for an Organisation

Besides taking the environmental situation into consideration when crafting a strategy, other factors to consider include *internal resources, capabilities and goals* of the organisation. This is vital as it can help in controling the influence of the five forces on the organisation. The following strategies are options an organisation can choose:

1. *Reducing the power of the suppliers*

- A company can form partnerships with other organisation who rely on same supplier. This reduces the bargaining power of the supplier as together they can purchase at lower prices.
- The company and supplier can integrate their systems to facilate the process of ordering/supplying. However, this increases the swiching cost for the company.
- A company can use other sources to inform themselves on the mode of functioning of the supplier. This can assist them during price negatiations.
- A company can attemp to purchase the supply via a process known as backward integration. For instance, a company producing leather shoes could buy its supply who supplies the leather material.

2. *Reducing teh power of buyers*

- Companies could form partnerships to fix prices of their products/services. Fix prices reduces the chances of buyers to do price comparision and thus reduce their bargaining power.
- A company can provide products/services that makes it difficult for buyers to switch to competitors. E.g A user subscribed to an ehealth app where they post their medical records will find it difficult to move to another for fear of fragmenting or losing their medical history.
- In a monopoly, a company can control the units of products to be made available for purchase. Through this, customers or consumers will focus on getting the product rather than bargaining for price reduction.
- A company can provide complementary products which must only be purchased from them. For instance, apple store can only be used by iphone users.

3. *Reducing the threat of new market entrants*

- Companies can form partnership to increase prices of products/services. For instance, companies can team to increase pay more to their suppliers so the supplier will find new companies who can't afford to pay high prices less interesting.
- In a monopoly, a single company controls the market. This gives them the power to determine the conditions for entering in the market. In most cases, the conditions are not favourable for new businesses. For instance, the company might increase prices of products in a way that the market will not be lucrative for new businesses who are not yet financially stable.
- Existing companies could streamline their production processes or purchase technologies that will make them more efficient. This reduces costs of production, thus making placing them in a position that they could sale at much more lower prices than new companies.
- Setting Standards like compliance or licenses that are costly to acquire by new and small companies.

4. *Reducing the threat from substitutes*

- Providing unique products to increase switching cost e.g ehealth application
- Providing complementary products e.g Malware and antivirus for computers
- providing a different product that separates the company from others e.g iphone
- An organisation can also provide the alternative e.g A company producing Air Conditioners (AC) can decide to produce Standing fans.

5. *Reducing the pressure from existing competitors*

- A company should avoid in engaging in price competition

- Avoid being in the same location or very close to the company's competitor. This will enable each company to provide its goods and services in a location that is frequent by its competitor.
- Avoid head-on competition with competitors i.e provide products that serve the same purpose but make it unique or different from others e.g iphone
- Purchase the competitor
- Focus on specific market segments (niche market) to avoid head-on competition
- communicate with competitors to establish a better relationship to avoid fierce competition.

Critical Issues

Porter's forces was created when companies where establishing themselves in the market. The priority for companies was to gain market shares to guarantee their existence and profitability. Competition and sustainability was at the center of it all. However, in today's world, the market has become much more dynamic, less stable and changes can be predicted with a certain level of accuracy. The main reasons why Porter's five forces is limited in applicability in today's world lies in the following:

- The model is suitable for stable and static market structure. Brick-and-Mortar are examples of static markets. People always need to go to the exact location to get their products. However, technological advancements has changed the market space drastically. Now it is possible to shop on the internet at the comfort of your homes. This was not envisioned in the five forces.
- The model is best used to analyse simple-structured markets. E.g Analysing a bakery is easier than analysing a logistic firm because a logistics firm has too much complexity.
- The model is built for classic free markets i.e it is suitable for markets with less regulations. E.g someone who does woodworks for sell has less regulations than someone who produces medical equipments.

Unit 3: The Position in the Market

The aim of this topic revolves around *vision, mission, goals and values of the company* and how to perform a *SWOT* analysis. In an organisation, the executive or founders or corporate level are responsible for formulating the mission and vision of the company as well as defining its values. The mission expresses what the company stands for and it usually reflects the values of the company. The vision expresses how the company views itself and sets the future direction of the organisation. The vision should be understood as the *corporate identity* of the company. The company expects its employees align with the vision. This should be reflected in their behaviours and motivations.

1. **Mission**
   This is the heart of the strategy and explains why the company exist and also provides clarity of its purpose to its stakeholders. Stakeholders include: employees, suppliers, distributors, customers, shareholders etc. The mission answers questions like the following:

- Why do we exist?
- What is our purpose?
- Why are we different from others?
- What do we want to achieve?
- How do we achieve it?

Considering the mission statement of the case study "The mission of the Bar School is to inspire and empower students to become balanced, responsible, and global-minded members of society. This is accomplished by offering a high-quality, internationally accepted education". The first part answers the W's while the second part answers the How.

2. **vision**

This defines the identity of the company and provide information of the long-term perspectives(where the organisation wants to be in the future) of the organisation. The questions that should be answered here are:

- What do we want to accomplish in the future?
- Where do we see our organisation in 5, 10, 15 or even 20 years.

Foe example "We want to provide data-driven healthcare services. In the next 5 years we want to convert X % of the adult population into using our ehealth record services". The first part answers the What while the second part answers the Where.

3. **Values**

Values are fix and form the basis for every strategy that the company creates. Values define the guidelines and principles that the organisation upholds when doing business. In a values statement, the values must be clearly communicated. Considering the case study, the values of the Bar School are:

- Every person is of value and has unique potential
- Good conduct, teamwork, cooperation, and respect are important factors for success, and that education is a partnership between students, parents and teachers.

4. **Goals**

It is not mandatory to have a mission, vision or a value statement. However, goals are the reasons why a business is created. In an organisation, goals are specific to each layer or department, as illustrated on the following image.

Source: Created on behalf of IU (2015).

Group level

At the group level, the strategic or corporate goals are defined. When defining corporate goals, the upper managment should be specif regarding what *should* be attained. The following points can be used for guidance:

- Market position goal i.e, market share, sales volume, developing new markets
- profit goals i.e profit margin, return on sales
- financial goals i.e level of liquidity, credit-worthiness
- social goals i.e employee satisfaction, employment security
- goals relating to power and prestige i.e image buiding, changing dependency on other organisations.

Strategic Business Unit (SBU)

After formulating corporate goals, they are translated into functional or SBU goals. Both functional and SBU goals are cordinated and implemented at the departmental level withing the SBU or the company. Since SBUs are contribute to the overal profits or losses of an organisation, each SBU receive goals that are specific to their responsibilities. A functional goal for a company could be to improve job security for employees. Functional goals are related to human resource, finace and production.

Product Level

The major activities that occure at this level are related to marketing. Considering the marketing mix, goals will be related to product, price, promotion, communication depending on the location.

What is Our Position in the Market

Companies use a positioning map to compare themselves with competitors based on a target group or audience. This map is made up of two axes that map the specific attributes/metrics used for comparison. Depending on the measured values of the metrics or perception of the attributes by the audience, the company places itself and the compatitors at specific points on the map. Some metrics that can be measured include: price, quality, customer satisfaction and company image. To maintain a strong position in the market, companies need to achieve high values for the attributes used for comparison. Companies should avoid changing the core market that gives secures them a strong position in the market. Xerox had a strong market position for selling copying machines untill they decided to make huge financial investments to sell personal computers. To develop an effective positioning strategy, the organisation should perform a SWOT analysis, and also use quantitative and qualitative methods to monitor and assess market changes like trends. The following is an example image of a positioning map for *Palace Hotel*.

Source: Created on behalf of IU (2015).

What Information Does the Company Need?

For strategic positioning, companies need results of Analysis performed on recorded data and market segmentation.

1. **Quantitative Market and Customer Analysis**

To perform this thoroughly, companies need to record quantitative data. This kind of data is usually available either internally or can be acquired from external sources. Internal sources include departments generating data like customer data, sales information, distributors etc while external sources include umbrella organisations like the government, industry experts, annual reports of competitors etc. Some KPIs that can be used for market analysis are *population growth, market volume(monetarily, size), market potential(max size of the market), market growth, average return on sales etc.

2. **Market Segmentation**

An organisation can divide its market into segments where each segment consist of customer that have similar needs and preferences. B2C and B2B are two major market segments that can be described based on the following criteria.

Table 1: Market Segments

Factor of Segmentation	Consumer Market	Business-to-Business Market
Personal characteristics/business characteristics	• age and gender • income • size of the household • stage in the life cycle • place of residence • lifestyle	• industry • location • size • technology • profitability • management
Purchase situation/ usage	• purchasing volume • loyalty • purpose of use • purchase behavior • value of the product • product choice criteria	• purchasing volume • purchase process • purpose of use • frequency of purchase • value of the product • product choice criteria • distribution channel (direct or intermediary)
User preferences	• brand preferences • desired properties • quality • price preferences • comparability of the product	• brand preferences • desired properties • quality • service • product requirements • support requirements (i.e., by intermediaries)

Source: Created on behalf of IU (2015).

What Capabilities Does the Company Have?

The SWOT Analysis is a method wided used by companies to assess their capabilites and resources. SWOT is an acronym for *Strength, Weakness, Opportunity and Threat*. This means that the SWOT Analysis strive to achieve an internal thorough analysis of a company's strengths, weaknesses, opportunities and threats. This analysis considers three categories of resources which are:

- Physical resources: Machines, equipment, buildings, raw materials, patents, computers etc constitute physical resources that determine the efficiency, productivity and flexibility of an organisation.
- Fiancial resources: Balance sheet and *cash flow(liquidity in a time period)* enable organisations to determine their financial viability which is necessary to sustain the company.
- Human resources: This constitute employees, managers and partners. Organisations require this to determine whether they have the right people and the kind of training they need to offer or take to motivate their employees.

The Analysis of all the SWOT factors enable the organisation to understand their capabilities which is useful in determing the strategic possibilities that an organisation has and also helps them to answer the question whether the strategic possibilities align with the identity or goal. The SWOT analysis can also be used to assess the strength and weaknesses of other organisations relative to the organisation. The opportunities an threats of the SWOT analysis focuses on the market trends. As a result, this part of the analysis can be supported by the PESTEL analysis and Porter's Five forces.

--**Use SWOT to analyse nwa medicals**--

In addition to the SWOT analysis, it is recommended for companies to use their core competencies to achieve competitive advantage. A core competency is a unique capability or resource that an organisation has that differentiates it from other organisations. These gives the company competitive advantage as they can:

- Increase the value of the product or service to the customer
- differentiate themselves from competitors, and
- can be expand in the future.

What Capabilities Do Others Have?

Benchmarking

This is comparison that leads to the selection of the **best choice as a point of reference** for bearing or orientation. Several criteria are usually used for comparison. Benchmarks can be used by companies for self evaluation, identify superio methods & best practices used by other firms, and to optimise internal processes. The four main types of Benchmarking are:

- Internal benchmarking
- Competitive benchmarking
- Functional benchmarking
- Generic benchmarking

1. **Internal benchmarking**
   Considering a company composed of different businesses(e.g telecommuinication and medical) with each business having running different departments built on similar processes, this benchmarking approach can be used to compare the businesses with each other as well as comparing departments within a business with each other. The major advantage of this type of benchmarking is that the data/figures/numbers are readily available. However, using internal data may not be accepted by managers as the numbers might not be perceived as the standard. Moreover, managers could perceive this as open criticism to their management practices. Comparing businesses within a corporation with company wide KPIs might not be coherent as there could be business specific KPIs that should be used to assess their capabilities and performance.

2. **Competitive benchmarking**
   Considering two companies operating in the same industry, and servicing the same or similar market. These companies are set to be benchmarking partners althaugh they are competitors in the market. What happens in competitive benchmarking is that important metrics known to the competors are compared. A challenge here is that, one company might have metrics that are not known to the competitor. Thus limiting comparison. However, the metrics that are used in both companies are used for comparison. Imagin that these two companies are car manufacturers. Then one company could produce a new model of a car and provide this to the other company having a similar model for comparison. Components that could be compared here include: technical development, features, handling etc. This kind of comparison is intense and requires enough preparation. Additionally, it requires an open communication between the they two companies to ensure the effectiveness of the process, otherwise it becomes more difficult to compare metrics and processes of the competitors. Despite the fact that the information achieved via competitive benchmarking can not be used as the standard to foster innovation and development, it does give the competitors clue about their position in the market.

3. **Functional benchmarking**
   In this type of benchmarking, companies compare their organisational functions. For instance, a company A may compare the functions and processes of its logistic department with the logistic department of an online store. This type of benchmarking creates room for learning and innovation, and provide organisations with novel ideas and suggestions.

4. **Generic benchmarking or best practice benchmarking**
   This kind of benchmarking does not build on organisational functions, nor companies in the same line of busines or industry. An analysis conducted by southwest airlines by comparing the turnaround time of their airplanes with the pit stops of cars at Formula one, southwest airlines significantly reduced the turnaround time of their planes by 50%. Basically, an analysis of the *value chain* is the foundation for developing best practice benchmarking because it focuses on maximizing the steps in the value chain that creates value for the organisation and minimise activities that cause waste of resources.

Standard process for benchmarking

The following four phases is recommended to be adopted in a benchmarking project.

1. Goal-Setting/preparation phase

- definition of the problem and internal analysis
- selecting the benchmarking partners and appointing the benchmarking team

2. Comparison phase (quantitative benchmarking)

- definition of the figures and numbers, and indicators to be investigated
- data generation
- data analysis
- ranking
- selection of 'best performers'

3. Analysis phase (qualitative benchmarking)

- analysis of the best processes and strategies

- deduction of the 'best practices'

4. Improvement and implementation phase

- definition of the improvement measures
- implementation of the improvement measures
- controlling progress and results

In such a project, it is important to identify the activities of the companies that concern the customer in order to select the most relevant competitors and benchmarking partners. Additionally, it is advisable to avoid poor performing competitors when developing benchmarks.

Unit 4: WHAT STRATEGIC OPTIONS ARE AVAILABLE TO THE STRATEGIC BUSINESS UNIT (SBU)?

What Strategic Options Does the SBU Have?

First of all a SBU is a division or component of a component that provides specific products and services to a specific business or market. Typically, SBUs have similar customers, competitors and strategic capabilities. SBUs are often seen in large corporations than in small companies or startups. An example of a SBU is a *medical division* of a large corporation that serves hospitals. Because SBUs are experts in their market and understand their customers better, they are allowed to independently make decisions regarding their product/service portfolio as well as the strategy they want to follow in their market. The strategy followed by a SBU can be *generic or interactive*. By generic, it means, the SBU employs a strategy that is regularly used by other organisation while in an interactive strategy, the SBU flexibly responses to the changes in the market to infleunce the market itself. The decisions and strategy they choose to follow should enable them meet up to the corporate goals. *Sales and Profit* are the metrics used to evaluate the performance of the SBU.

Generic Strategies
Acording to Porter (1996), *generic strategy* describe those strategies often used by organisations. It constitute strategic goals set aside by organisation for themselves and strategic advantage being pursued by the organisation to achieve its goals. Remember that Porter's definination of strategy is tilted towards competitive advantage. From Porter's point of observation, there are 3 categories of generic strategies.

1. Cost leadership (being cheaper)
   In this kind of strategy, the company strongly minimizes production cost in order to sell at the lowest price. This can be achieved by

- low purchasing costs: achieved by acquiring purchasing power over the supplier
- economies of scale: The more they produce the better the get at it. Being efficient!
- experience: Using experienced gained in the market to adequately respond to market fluctuations.

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CASE STUDY: ALDI
A notable example of a company successfully employing a cost/price leadership
strategy is the retailer ALDI. ALDI operates based on several key principles, with
the primary goal of ensuring consistently low prices for its customers. To reduce
purchasing costs, the company has a centralized international purchasing
department, negotiates minimal transportation costs, and limits the variety of
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products available in its stores. Additional savings are achieved through the
simple, no-frills design of their stores and by situating them on the outskirts of
cities and towns where rent is cheaper. ALDI also places great emphasis on
optimizing and streamlining its internal processes. The company does not have a
controlling or staff unit and, instead of relying on forecasts, it operates based
on realtime data to run its business efficiently
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2. Differentiation (being different)
   The differentiate itself from others, organisation need to provide unique products or services. The product or service must be so valuable to the customer that they will still be willing to subscribe or purchase even at very high prices. Example of the brand *Apple*. The advantage of this is that it gives an organisation a strong market position, increases its profit margins due to higher prices and also increases switching cost for the customer. The major disadvantage is that developing a unique product/service is associated to high investment. Another disadvantage is the risk that other companies might produce a similar product and create competition.

```
CASE STUDY: SOUTHWEST AIRLINES
Southwest Airlines is one of the most successful carriers in the United States,
known for its strong focus on customer service and punctuality. Despite offering
only one seating class, not allowing seat reservations, and serving just snacks
during flights, the airline’s service remains popular among passengers. This is
largely due to the extensive customer service training provided to Southwest
employees, ensuring they maintain a friendly and positive attitude. The airline’s
exceptional punctuality is a result of a company-wide initiative that
significantly reduced airplane turnaround times. This approach has led to
financial success for Southwest, allowing it to carve out a distinctive position
in the highly competitive U.S. airline industry, setting itself apart from its
rivals.
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3. The focus strategy (being better)
   With this strategy, a company focuses on a small market segment or niche, and provide high quality products/services that satisfy the needs/desires of this customer group.The advantage is that, the company maintains a small and stable customer bases and have no competition, as well as benefit from high profit margins as they charge high prices for the high quality of products/services they offer. We saw this in the case of Bhutan charging tourists(value culture and care for environment) a daily $200-300 for a complete package with high quality service. The disadvantage of this strategy is that growth is limited and changes in market impacts sales.

Generic strategies can also be combined. For instance, Bhatan sets itself apart from other tourist destinations as it offers superior service and focuses on a very specific market segment. This is applicable to SBUs as they could employ combined generic strategies depending on their cost structure and the market they serve.

Interactive Strategies
In this strategy, a company reacts to the strategies employed by its competitors in a highly competitive and volatile market where *price and quality* are the major drivers of competition. If a company, reduces the price of a specific product, the competitors will immediately do the same. This also applies to quality i.e if a company

integrates a new feature on its product, the competitors will also do the same to stay competitive in the market. There are different types of *interactive strategies*:

1. Hypercompetition
   This term describes a business or market environment characterised by fierce competition. In this kind of business environment, competitive advantage is created and destroyed at a fast pace. Due to this strong dynamics, competitors cannot defend their position in the market for long. As a result, price and quality are the basis for comparison. To achieve success in this kind of market situation, organisations have to be flexible, react fast, and be prepared to take risks. Even well established companies may fail in this kind of market situation if they stick to their old strategies rather than adopting to strategies that are forward looking. A prime example of a hypercompetitive market is the consumer electronics market. The following excerpt describes the battle between the two giants, Samsung and Apple.

```
BATTLE OF THE TECH GIANTS
Mobile platforms are rapidly gaining dominance across smartphones and tablets. By
the fourth quarter of 2010, global shipments of smartphones and tablets surpassed
those of desktops and PCs. In 2011, an estimated 480 million smartphones and
tablets were shipped, compared to around 380 million desktops and PCs. As the
trend towards mobile technology intensifies, major players in the industry are
competing fiercely to expand their market share. One notable development is the
U.S. ban on the Samsung Galaxy Nexus, which negatively impacts consumers by
limiting competition and stifling innovation. The ongoing patent disputes between
Apple and Samsung have escalated to an extreme level. For Apple, this battle is
crucial for both its survival and profitability. Samsung has the capability to
offer high-quality alternatives to Apple’s iPad, often at a wider range of prices,
something Apple has not yet fully achieved. Samsung’s success is evident in the
strong sales of its Galaxy SII smartphone and Galaxy tablets, and this trend is
likely to continue unless government or regulatory intervention occurs, as seen in
a recent verdict against Samsung. This situation raises concerns about the
validity of patents that seem overly generic, an issue that extends beyond Apple
to all manufacturers. Resolving
these patent conflicts is unlikely to happen anytime soon. (Note: In 2024, global
shipments of smartphones is around 1.23 billion units.)
Source: Frost & Sullivan (2012).
```

2. Strategic Alliances
   A strategic alliance is the formation of partnership between companies based on their competencies. Such aliances aim at reducing the number of competitors in a hypercompetitive business environment. Howerver, the primary goal of a strategic alliance, is for companies to combine their strengths and develope competitive advantage expecially in an existing or new market. To build a successfull strategic alliance, an analysis of the following is required:

- The fundamental fit of the organisation
- The strategic fit i.e the strategies and goals of the companies involve are similar or identical
- The cultural fit i.e the corporate cultures of the two organisations cna be united without much friction.

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CASE STUDY: STAR ALLIANCE
In 1997, the world’s first global airline network was launched under the name Star
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Alliance. At the time, foreign airlines were restricted from operating domestic
flights within individual countries due to national regulations. Star Alliance
provided a solution by allowing passengers to book connecting flights in other
countries via local carriers. As the alliance expanded, both the network and its
passengers benefited from the increased connectivity. Today, this horizontal
alliance has grown to become the largest airline network globally.
```
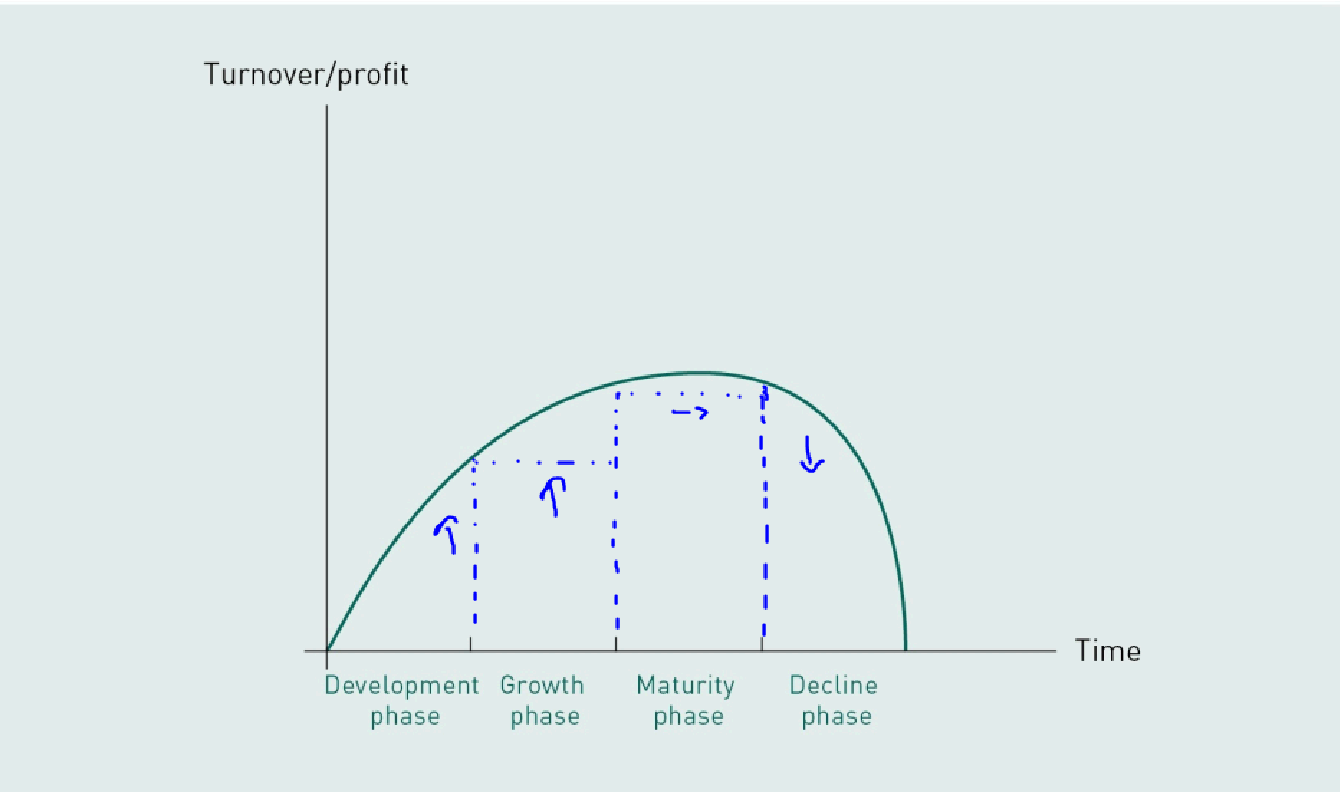

Horizontal alliance Horizontal strategic partnerships are alliances between companies at the same economic stage!.

Product Life Cycle

Before making decisions related to the product such as pricing, product portfolio, markets, technology, capacity, and marketing and promotional measures, the company should analyse the product with the **Product Life Cycle(PLC)** modell. According to this modell, the lifecycle of a product is similar to that of human being i.e it starts with *development then goes through growth and maturity, and ends with decline*. The following image visualises the product life cycle. It is important to note that each phase has opportunities and threats, and that few products follow the exact product life cycle. This modell is largely used for forecasting sales and formulating strategies.

Figure 5: Product Life Cycle



Source: Created on behalf of IU (2015).

1. Development Phase
   The product is born and enters the market in this phase. It is characterised by long development time and low growth rates. This is because a large portion of the investment flows into marketing and distribution which eats up the profit that is be generated in this phase. It is in this phase that the

company require a well-defined marketing plan that takes into consideration all the parts of the marketing mix(product, price, place(distribution) and promotion) to successfully put the product in the market. Typically, there are few or no competitors in the market at this phase espcially when the product is new.

2. Growth Phase
   In this phase the product starts generating sales as the product or service grows, an the number of competitors increases due to new market entries especially when the product or service is new. As production and sales increases, the cost of production reduces and the company benefits from both economies of scale and high profits. To extend the period of growth and benefit from promising profits, the company needs to increase its marketing and promotional expenditures.

3. Maturiy Phase
   At the phase the product/service is established and accepted in the market. The climax of profitability is reached when the growth curve flattens. This is also the phase where hypercompetition comes into play as competitors will also want to maximise profits and stay in the market. Through new marketing initiatives or introducation of new features, companies strive to increase this period to maximise profits. Sometimes this requires product relaunch especially when new features are integrated. The relaunch helps to improve the slow growth in this phase. Another way to extend this grace period is by exploring new markets or market segments.

4. Decline Phase
   In this phase the company experiences sales decline as the product becomes outdated or less interesting to the customers. Companies are advised to monitor and control sales, costs, and profit margins in order to create room for making strategic product decisions. Alternatively, the company can retire the product/service or cut down the cost of production to increase the profit margin while the product/service stays in the market. A possible advantage of this strategy is that rivals might drop off the market after some time and the company stays in the market with its product to serve a small segment of loyal buyers. Another strategy is to introduce a new product that succeeds the old one once it is taken off the market.

UNIT 5: WHAT STRATEGIC OPTIONS ARE AVAILABLE TO THE CORPORATION?

Areas to Consider When Formulating a Strategy

Strategic planning is a very vital activity of an organisation as it decides whether the organisation or SBU will be successful in the future or not. It is usually a daunting task for an organisation to explore several options or scenarios during this process before choosing the strategy to adopt. However, this strategic planning does not guarantee that the chosen strategic is the ideal decision. Some factors infleuncing strategic decisions in an organisation include: history of the organisation, culture and management. The management is responsible for choosing the strategic path to adopt. For more details see *Levitt 1990*. In the strategic planning process, there are several areas that the company need to examine. These include:

Customer-Oriented Strategies
The main target of a marketing strategy is to focus on *customer orientation*. The company decides whether to focus on all the customer (e.g Coca-Cola) or a market segment(e.g schweppes).

Competitive Strategies
Beside Customers, it is crucial to consider competition in the strategic planning process. Organisations must decide how they want to navigate the market. Possible strategies include

1. Engage in direct competition by attacking the customer base of competitors to secure market shares
2. Forming alliances that are legelly binding e.g Star alliance. Alliances that form a Cartel to prevent new market entries or barriers can be punishable by law. E.g The Rail Cartel in Germany was fined by the *Federal Cartel Office* because they came to a joint agreement regarding prices for rails and points.
3. Avoid direct competition by focusing on a niche.

Distribution Strategies
Depending on the sector, distributors or trading companies may play a major role in the strategic decision process. For instance, considering the consumer goods market in Germany. This sector is dominated by large corporations such as ALDI, EDEKA etc. They purchase in large quantities and thus dictate the price and packaging of the products. As a result, other smaller distributors in this same sector are forced to adapt to the prices and packaging, which also limit their response to changes in the market place.

Stakeholder Strategies
Managing stakeholders of an organisation is crucial taking into consideration that stakeholders have high infleunce over consumers and the environment of the organisation. In order to manage stakeholders, an organisation can either decide to engage in open confrontation or cooperate with the stakeholders. When adopting an open confrontation strategy, it is important to for companies to be aware of the risk of damaging their reputation if negative information is spread in the media about them. Greenpeace or Stiftung Warentest in Germany are stakeholders that usually engage in open confrontation with organisations. On the other Hand, adopting a *cooperative* strategy implies the integration of critical stakeholder into the company. This is adopted by the German *Schufa Holding AG* as they founded a consumer advisory council that consist of politicians, scientists and members of protection agencies. Altenatively, like in B2B, a company can decide to operate in an environment with few critical stakeholders. This is because they deal with businesses rather than consumers.

Strategic Options

There are several strategic options that an organisation can adopt with the aim to expand its market. This include *product diversification, which implies that a company increases the range of products it offers*. There are 4 directions in which a company can diversify. These include:

1. **Market Penatration**
   This is a market expansion strategy that allows companies to increase the market share of their current product/services usually by leveraging their current resources and capabilities. For instance, the company the use its economies of scale to increase its profit margin. The disadvantage is that this strategy can create a monopolistic situation which is usually not acceptable in many countries. In fact, monopolies usually face legal restrictions. Another disadvantage is that it can create a hypercompetitive market situation which can potentially eliminate the company from the market if not well handled.

2. **Developing New Products and Services**
   Companies can adopt this strategy to expand their presence in the market by introducing new products or modifying then relaunching existing products. By doing so they can increase their sales as they could gain new customers or get existing customers to purchase more.

3. **Developing New Markets**
   Companies can introduce existing products in a new market with the aim to increase its usage and to expand their market share. Typically, the product can be modified before being introduced in the new market. Modification could include changing its design or packaging to make it appear new and attractive. Venturing into a new market also comes with cost as the organisation might need to secure new distributors and develope a new marketing strategy based on the marketing mix in order to achieve its objectives in the new market.

4. **Diversification**
   In this approach, a new market is penatrated with new products. This usually require a complete change in strategy. As a result, the risk of failure increases. This has been observed by the fall of the merger between Time Warner and AOL. Despite the high risk of failure, diversification offers enormous opportunities if they are well managed. The three main reasons for companies to diversify are the following:

- Increase efficiency
- Utitlize management competencies
- Increase market power

Outsourcing

It is the activity that involves transfering tasks/responsibilities to be done by an agent, usually an external body not linked to the company, for a fee.

Advantages

- Reduces workload on the employees and increases overall productivity of the company as the outsourced tasks usually complete or compensate what the company cannot do
- Company must not hire skilled workers for the tasks being outsourced. Advantageous because contracts with skilled workers are legally binding and usually include packages like health insurance and retirement benefit.
- The receiving company are easilly afordable and are dedicated to the job
- Contracts between the parties are most often short lived. Once the outsourcing company no longer require the services, the contract is no longer extended.

Disadvantages

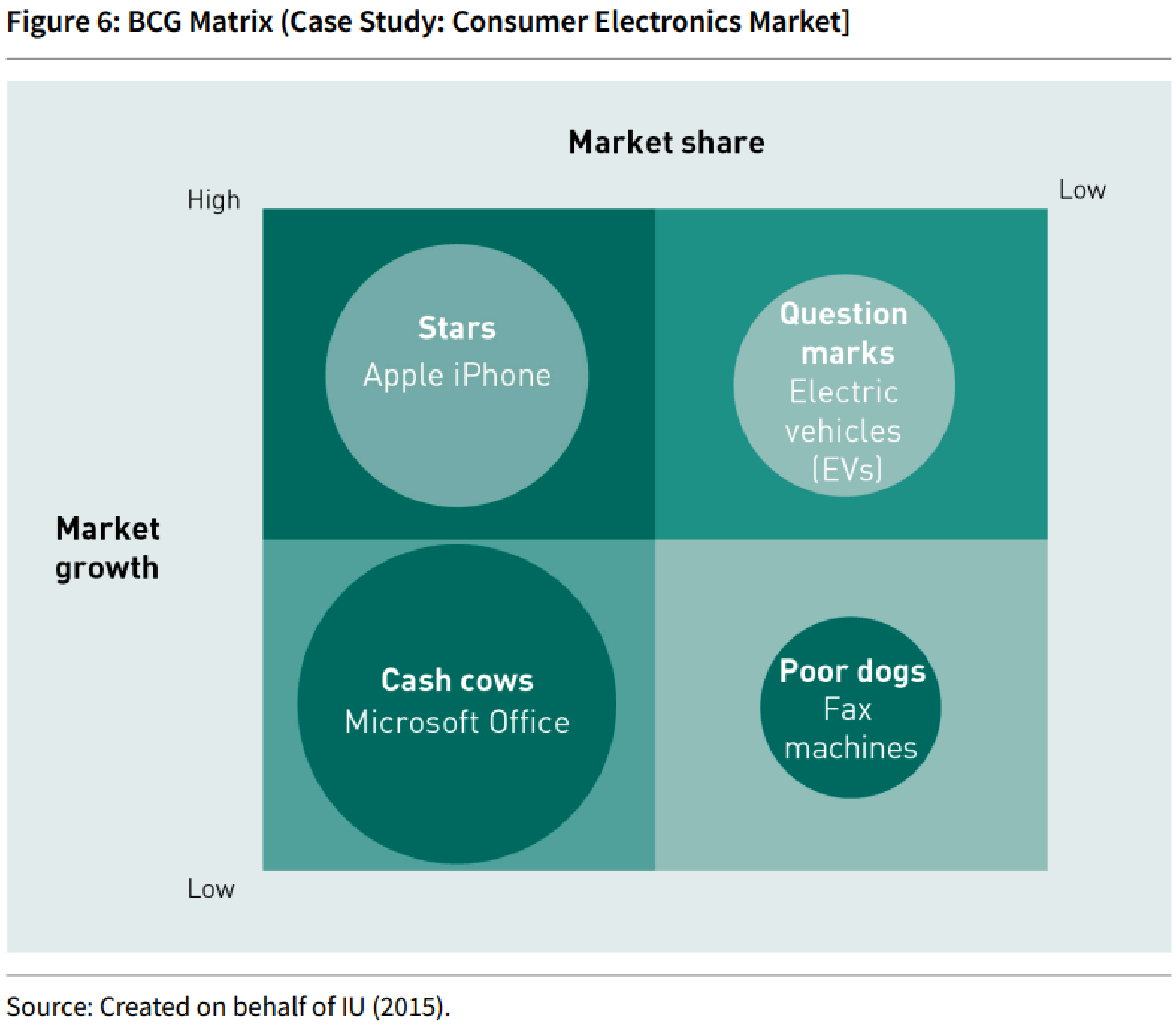
- It could be difficult to maintain the solution delivered after contract ends, especially if the outsourcing company does not have employees with the required skills.
- The solution obtained might not be of extended standard. This could lead to disputes with associated cost for the company.

Product Portfolio Analysis Using the Boston Consulting Group(BCG) Matrix

A production portfolio is a description of the collection of all the products offered by a company. Portfolio Analysis is a planning tool that organisations used to enable them make recommendations on how to allocate its resources (financial, human etc.) to the various business units. The aim of this analysis support decision making with regards to the optimal combination of products an organisation should opt for to reduce their risk during diversification. Through this analysis, long-term sources of revenue are also guaranteed. To conduct this analysis, environmental and corporate resources directly linked to the success of the products and businesses are evaluated. Additionally, it does not only help determine the most promising products to invest in, but it provides a direction for investment and budget decisions. As a result, a portfolio analysis can be seen as a preliminary step to the strategic plan. The BCG Model is used to analyse product portfolio. This model helps determine the position of the businesses in relation to their market share, and growth potential of the business. Using the relative market share as an internal indicator, enables organisations to compare their market share in relation to competitors. It is assumed that companies with large market shares benefit from economies of scale. As a result, they can produce at lower cost and sell at low prices while maintainig a large profit margin. On the other hand, growth potential is an external indicator that can be used to make the business attractive. The growth potential is derived from the product life cycle. In the BCG matrix, three factors are considered in the analysis. These are:

1. The growth potential of the business or market growth rate (Y axis)
2. The relative market share of the product or business (X axis)
3. The revenue contribution of the business or product to the organisation(the size of the circle around the product).

These 3 factors combined leverage information about the strategic position of the company's products, services, or businesses and the financial requirements of the individual products/businesses to balance the company's cash flow. IT also indicates the ideal situation with a balanced product portfolio with a balanced product portfolio. A balanced includes enough products that generate profits (cash cows) for the organisation to be able to finance new products (Stars and question marks). The BCG matrix is made up of four quadrants. Each quadrant consist of guidelines that can be used to measure or evalues strategies.



Description of the Quadrants

1. *Stars*
   Stars are establised products/services/businesses in an attractive market with large shares. They often require a lot of investment for marketing and but only yield high retuns on investment since they hold a substantial market share. Expanding the position of these products in the market require companies to strengthen their competitive advantage. It is recommended that a company should have a enough stars in their portfolio to provide financial leverage in the future when the growth curve flattens. In this case, the stars become the cash cows. According to the BCG matrix, the Stars and Cash Cows are the main revenue streams. An example of a star in a consumer electronic market are ebooks.

2. *Question Marks*
   In this quadrant, products with small market share but with high growth potential placed. These are mostly new products or services that require large financial commitments to position them in the market. The risk of failure is high as the product can exit the market if it does not break through. In theory, question marks are promising future markets that require investments today. In consumer electronics, blue-ray discs are question marks. Despite the introduction of the Apple iTunes, these discs have slowly but steadily experienced an upward growth trend. This is because blue-ray discs offer higher data volume and storage capability as well as outstanding image quality.

3. *Cash Cows*
   Cash cows have a higher market share with lower growth rate. They are established in the market, however, they face declining attractiveness. Due to their established position in the market, they do not require huge investments althaugh they leverage high revenue. Typically, the extra cash generated by cash cows should be used in the development of new products and services. Having several cash cows only adds is benefitial. Example of cash cow in consumer electronic is the flat screen. In the beginning, flat screens generated very high sales. With time the sales number droped due to fierce competition. However, there is still moderate growth in this sector despite low prices. So companies still do little investments for improvements to still benefit from the revenue it generates.

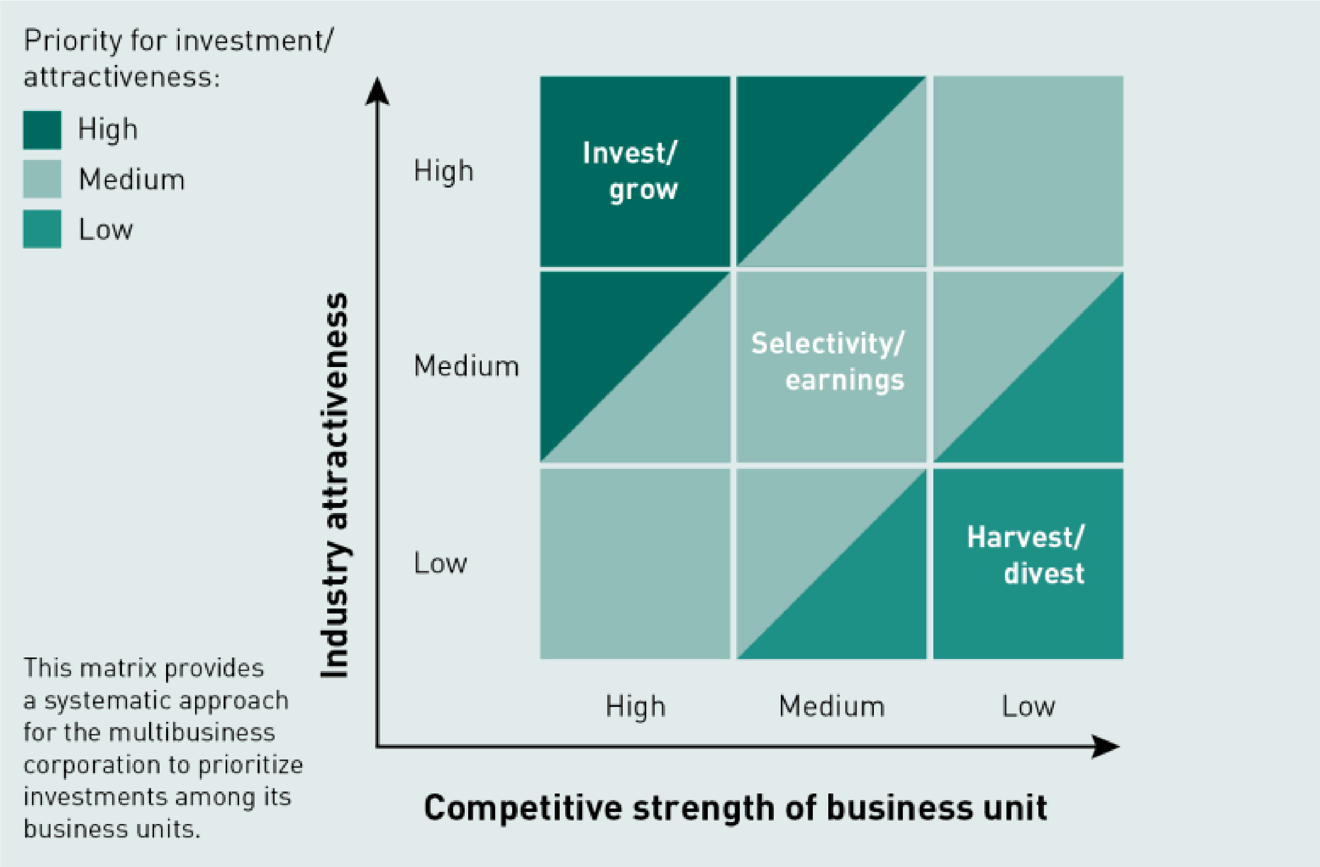
4. *Poor Dogs*
   Products or business with small market share and low market growth. Companies should not invest in these products as they don't generate revenue if at all then it is balanced meaning no profit is observed.

Critical Evaluation of the BCG Matrix The drawback of this Matrix is that it only considers the relative market share and the market growth potential of the products/businesses. It also does not take market trends as well as the connections between the products and business into consideration. This leads to the composite effect, which refers to the qualitative impact of individual activities, with regard to several products at the same time, on the benefit benefit for the market participants. Good thing with this matrix is that easily shows the entire product portfolio of the company which can be viewed at a glance. This facilitates planning decisions.

Product Portfolio Analysis Using the GE-McKinsey Matrix

McKinsey and the American Corporation General Electric developed the GE-McKinsey matrix based on the BCG Matrix. This matrix focuses on two metrics, namely, *market attractiveness and competitive strength*. It has the same goal as the BCG matrix, however the external analysis is not restricted to growth potential and market share. It considers several factors under the term market attractiveness which include: *market volume, profitability, and intensity of the competition*. Instead of limiting itself to market shares, this model analysis the relative competitive strengths of the organisation over the competition. This includes, relative market share, relative product quality, company image and financial strength. This matrix is 3X3 and more detailed the the BCG 2X2 matrix.

Figure 7: GE-McKinsey Matrix



Source: Created on behalf of IU (2015).

Interpretation of the Quadrants

- The more attractive the market and the stronger the competitive position of the business or product, the more should be invested.
- If the market attractiveness is low and the competitive position weak, the business unit or product should be divested.
- The products and businesses that are positioned in the middle segments of the matrix are more difficult to evaluate and more detailed analyses are required in order to make a final decision as to whether to invest in the business or product or whether to divest it.

UNIT 6: WHAT INTERNATIONAL STRATEGIES ARE AVAILABLE?

Why Do Companies Go International?

There are several reasons that motivate small to large companies to go international. Beside improved infrastructure and wide spread use of internet, the following reasons support this move:

- trade agreements
- unification
- economies of scale

- local differences
- the world growing closer
- standardisation
- global marketing.

Going internation requires carefull planning and commitment to understake the required coordinating tasks. Coordination is the organisation of human resources as well as economic and technical tasks in an organisation.

1. **Trade Agreements**
   In increasing number of trade regulations between countries has made it easier for companies to do business in other countries and across regions. In the best case, relaxing trade relations accelerates trade between the partying countries involved. For instance, China and Taiwan eliminated custom duties for more than 800 products and it accelarated trade between them.

2. **Unification**
   This usually leads to the creation of *free trade zones* like the EU. Most terms and conditions agreed for doing business with zone usually applies to the individual countries that make up that zone.

3. **Economies of Scale**
   pass

4. **Infrastructure**
   This includes the transportation and human resources necessary to run an economy. For instance international container shipping business has improved due to technological advancement, thus

5. **Local Differences**

Improvement in infrastructure create flexibility for companies as they can decide where to perform certain operations. The division of tasks to be performed on chosen locations are related to the cost and opportunities. For instance, a company selling textile in europe will prefer to push production in Asia as it is cheap there, howerver marketing will be done in the home country where the customers are located or are to be served.

6. **The World is Growing Closer Together**
   Globalisation and growing accessibility to the internet.s

7. **Standardisation**
   E.g Using the USD as the base currency for global foreign exchange market. A company producing chocolate in the germany can purchase coacoa from a coacoa producing company in ivory coast and make payments in USD.

8. **Global Marketing**
   Some business activities are accomplished using standards while others remain under local standards. On one hand it gives the sense of belonging and on the other hand it shows respect for local cultures, values and inclsuion. E.g McDonald may make ads with a global theme like reducing environmental polution and in the ad it features natives of individual countries.

9. **Dependencies**
   International companies usually sites located in different parts of the world. These sites are typically

interlinked in a way that changes in one can affect others. A warehouse in jakiri expecting supplies to distribute in the subdivision will not achieve its objectives if this warehouse does not receive the expected goods from its supplier located in Bamenda.

10. **Global Competition**
    Hiving strong financial resources does not guarantee success in international markets. Walmart failed in Germany.

What Factors Contribute to the Decision About Which Country to Invest In?

1. **Global Factors**
   Just like analysing micro -and macroenvironments of an organisation, companies have to research the international environment in order to make informed strategic decisions.

2. **Political situation**
   International companies need regurlarly update themselves with respect to the political situation in the country where they are operating. Quick change of governments of a country can lead to changes in the terms for doing business for international companies.

3. **Legal situation**
   Ligitimacy and Seizure of foreign companies

4. **Economic situation**
   GDP and GDP per capita.

5. **Social situation**
   Does the buying habbit support the establishment of an international market for the product/services that the company wants to sell. The demography may be attractive but the buying power may be weak. The large and young population in sub-sahara africa is suitable to boost production of mercedes cars in sub-sahara. However, very a small percentage of this population could aford a mercedes. As a result, it is not beneficial for mercedes to create a production site in sub-sahara.

Factors That Lead to Competitivee Advantages

International successful companies often benefit from local competitive advantages. These local competitive advantages occur as a result of regional factors. Some regions are predestined for specific business sectors and promote their success. Michael Porter (1998) identifies four factors that lead to a sustainable competitive advantage for companies. These are:

1. Local Factors
   Some regions are particularly equiped to produce specific products or services as they have ready access to raw materials needed for production. Resources could be human or knowledge or material.

2. Local demand
   The local demand for specific goods and services often favors the establishment of specific businesses in the area to makeup to the needs of the natives. Companies who fulfil this already secure a market share locally which gives them a positive edge in the local industry. In 1886, the German inventor Carl Benz filed a patent for the first motorized vehicle, marking the birth of the modern automobile. A world-renowned car industry was henceforth established in southern Germany. The strong connection

of the German people to locally produced automobiles (which still exists today), paired with the German sense of quality, has led to and perpetuated the competitive advantage of German companies in the automotive industry.

3. Supporting industry

4. Local strategy, structure, and competition

How Can a Company Invest Internationally?

Choosing an option for its international expansion depends on how much risk the company is ready to take. The following are the possible options.

1. Exports
   Exporting means producing in the home country and selling abroad, and it works best for products that are easy to transport. Its main benefits are low upfront investment, no need to build foreign production facilities, economies of scale from higher sales, and easier international coordination through the internet.

The drawbacks are that exporters miss location-based advantages in foreign markets, such as lower wages or tax benefits. They also depend on local distributors, who may not prioritize their product. In addition, trade barriers, customs duties, and transport costs can raise prices and reduce competitiveness against local products.

Even with these limits, exporting remains the most common entry strategy for international markets. Companies often let local distributors decide pricing, packaging, and marketing when global coordination adds little value, especially for products like raw materials and agricultural goods.

2. Joint Ventures or alliances
   Joint ventures and alliances with local firms can be a strong way to expand internationally because they share investment risk and combine strengths. Foreign firms may contribute technology or expertise, while local partners provide market knowledge and distribution networks. In some countries, such partnerships are even legally required to enter the market.

However, they are difficult to manage. Finding a reliable partner with aligned goals can be challenging, and successful cooperation requires ongoing relationship management and coordination. There is also a risk that the local partner learns and uses transferred know-how, which can reduce the foreign company's competitive advantage in that market.

3. Licenses
   Licensing, especially franchising, is a way for companies to enter foreign markets without selling directly themselves. In this model, local partners use the brand and business system in return for agreed payments, and both sides share costs and risks. Common examples include McDonald's and other franchise-based brands.

The main challenges are finding reliable partners who protect intellectual property, maintain quality standards, and actively grow sales. The original company also gives up some local cost advantages, since the franchise partner captures those benefits. There is further risk of reputational damage or lost competitive advantage if franchisees deliver poor quality or copy the system to start competing businesses. Ongoing quality control is therefore essential for franchising success.

4. Foreign direct investments
   Foreign direct investment (FDI) is when a company puts capital into operations in another country and keeps significant control over them, often transferring technology and know-how to achieve revenue growth.

Its benefits include full managerial control, stronger integration across operations, faster market entry, visible long-term commitment, and in some cases government subsidies.

Its downsides are high cost, major coordination demands, and significant risk. Integration can fail because firms must manage both national cultural differences and differing corporate cultures. As a result, FDI is a costly but potentially strategic way to expand internationally. e.g A foreign company bought a declining sugar producing company in cameroon and made investments to boost its market presense. The foreign company chose their management, hired workers and determined wages. Is this foreign direct investment.

UNIT 7: DO-IT- YOURSELF, BUY, OR ALLY?

The most common reasons why companies fail to integrate and benefit from Mergers&Acquisition(MA) activities. These include:

1. **Ignorance**
   Companies often wait for regulatory approval before they start with crucial planning. Because of this they get under time presure to implement the integration immediately the deal is done.
2. **Lack of a shared vision**
   Without a clear vision for the merged company, it is challenging to outline future operations, values and differentiators. As a result, the companies involved in the merger will struggle to unify and operate as a cohesive whole.
3. **Inadequate due deligence**
   Companies frequently encounter unforeseen challenges du to poor due deligence. Thorough pre-acquisition evaluation is critical to avoid unwelcome surprises that can impede the integration process.
4. **Insufficient team resources**
   Setting up the infrastructure for the merger requires resources and adequate time. This involves releasing key employees from their daily tasks, backfilling their roles etc.
5. **Poor governance**
   If the board of directors and executive of the newly formed company don't have clarity on the direction they want to follow, this will negatively impact decision making. As a result, the entire integration project could stall. For the integration of the companies to succeed, fast and decisive actions must be made at the right time. This reduces delays and eliminate inefficiencies in the process.
6. **Weak communication**
   When relevant details concerning the integration of the companies are not communicated, these creates differences of the state of the project on the minds of the employees and other stakeholders. Additionally, it is relevant for the board of directors or management at large to listen to the concerns of the employees, expecially those who will actively work in the implementation of the integration. Without adequate communication, the project is bound to fail at some point.
7. **Flawed program management**
   Poorly established plan fails to account for key interpendencies between parts of the integration process. This leads to delays, additional cost, miscommunication which force teams to scramble to fill missing gaps.

8. **Hesitation to make tough decisions**
   Sometimes tough decisions must be made to establish a solid structure and create clarity on the resources available as well as what is still needed. Failure to make these decisions e.g staff reduction, can lead to disappointing results. The board of directors or managers should prioritise the goal of the project over their feelings.
9. **Weak leadership**
   The success of the project strongly depend on the strength of the leadership. Management must be full of energy, enthusiasm, motivate employees and to communicate the values and vission of the merger. If the management is weak, they will lose credibility and compromise the objectives of the merge before it was ever implemented.
10. **Losing key attributes**

In order for an organisation to embark on the path of strategic growth, organisations have three different options, which are:

- Do-It-yourself
- Buy
- Ally

Do-It-yourself (Organic growth strategy)

This is also known as organic growth and it is a practice where an organisation invests into its development and growth using its resources and capabilities. The advantages of this strategic growth approach is that the organisation builds on time to grow into new areas and make its own experiences. Thaugh the growth is slow, it makes it easier for companies to adequately allocate their financial resources in areas that creates significant positive impact. It also enables the company to be independently and follow its strategic path. A good example of a product that grew organically is Amazon's e-book named *kindle*. Amazone learned from its online book business and leveraged its technological expertise to develop this tool. Today, kindle is still generates huge sales for Amazon.

Mergers and Acquisition (Buy strategy)

A merger is the formation of a larger organisation by two companies that operate as more or less equal partners. On the other hand, an acquisition is when one company takeover another company. If it occurs under mutual understanding then it is a friendly takeover otherwise it is a hostile takeover. A hostile takeover occurs when one company acquires a majority share of the other company. In general there are three motives that supports mergers and acquisition. These are, strategic, financial and personal reason.

1. **Strategic motives**
   The target for this motive is to grow in size and increase productivity in order to benefit from economies of scale. For instance, through a merger, a company can:

- Expand its product porfolio
- Explore new markets
- Expand locally and internationally As an example, the Chinese motor company Geely acquired Volvo and expanded into another country.

2. **Financial motives**
   A merger creates financial efficiency especially when one of the companies faces loses. In this case, the

profit of the other can be used to offset the loses of the other, thus keeping the merger stable as a unified entity. Additionally, if one of the companies is located in a country with lower tax, then the merger will prefer to pay their taxes in this country. This positively impacts their financial status, creating room for other possible investments.

3. **Personal/Management motives**
The personal ambition of a *CEO* may play a role in *M&A* decisions. Often, managers are evaluated on short.term wins and their target share price. As result, a CEO may may prefer pursuit a merger or acquisition especially when there is evidence that it will create immediate benefit, rather than grow the company organically and benefit from slow but steady growth that will make the company independent.A successful merge or acquisition will boost the reputation of the acquiring firm and ofcourse the profil of the CEO for the deal.

What Criteria Play a Role in the Selection of a Company for M&A?

Before deciding whether to merge with or acquire a company, it is crucial to evaluate some factors. These are typically, the *fundamental, strategic and cultural fit* between the organisations

1. **Fundamental Fit**
Determines the organisation's readiness and willingness to merge. This is assess by the means of metrics like *size, history and capability*. Through this the level of compatibility is measured.
2. **Strategic Fit**
Here the management skills and strategic goals of the organisation to be acquired are determined in order to take measures how to achieve the goals when the merger is formed. For the merger, it is important that each company understand their SWOT. Before the M&A is decided, both companies should be sure that their strategies are compatible and could strengthen their market position.
3. **Cultural Fit**
This includes the corporate cultures and management of the individual companies that want to M&A. To evaluate their fit, factors like communication style, openness, management style, tasks delegation, team work, mission and vision are evaluated. Integrating companies with different company cultures is a big challenge.

Integration Strategies

Basically, the level of integration between two companies in a M&A depends on the *strength of their individual strategic independence and the need for organisational automay*. Based on how close or different they are, one of the following integration strategies can be adopted.

1. **Maintenance or preservation**
Adopted when both companies are less strategically dependent and one wants to require more control over its unit. Strategic independence can be when one company does not depend on the product/service of the other. This approach allows for minimul integration typically involving, common financial reporting while both companies continue to separate as separate entities.
2. **Symbiosis**
This is recommended when the two companies show *high strategic interdependence* and have a marked need for organisation autonomy. This means that, both companies need to integrate their processes to be more efficient,however each company control their market. The benefit of this approach is that, the

companies can learn from their core capabilities. However, a drawback is that, the integration process is difficult and time consuming.

3. **Absorption**
   Ideal for cases where both companies are strongly interdependent and one company has very little organisational autonomy. In this case, the company with stronger organisational autonomy absorbes the other company. The absorbed company typically has to accept the decision and adatp to the strategy, culture and processes of the other company.
4. **Holding**
   This approach is adopted when the merging companies have little to no strategic dependence and need for organisational autonomy is for both is low as well. In this case, the acquired company is usually not integrated into the strategy, culture and processes of the acquiring firm. The acquired firm is usually sold as soon as a good opportunity shows up. For instance, you stop renting as soon as you acquire yours.

Strategic Alliances

There are two types of strategic alliances in terms of the ownership structure. This can be *equity or non-equity* alliances. In equity-alliance, the two companies merge to create a new entity which belongs to both companies. E.g Two pharma companies invest together in a research institution. Non-equity alliances are merely contact bound.E.g The Leading Hotels of the World (LHW) is an alliance of luxury hotels, resorts and spas worldwide that offer member hotels certain services like marketing measures for the group, consultation and a central reservation system. TThe motives for forming alliances are similar to those of *M&A*. However, the financial commitment of the companies are much lower. For instance, in the case of LHW, the members of the alliance benefit from a centralised marketing, consultation, reservation system. Additionally, all members receive the same quality of inspection to all the member hotels. This significantly reduces the cost of ads and maintaining employees. Through partners located in other countries, a member of the alliance can access the other a market without having to invest in marketing. This is seen in McDonals expanding internationally via its franchise or licensing system. In complementary alliance, each member provides one component that is beneficial to the other members of the alliance. Example: A owns a warehouse and logistics in his country. B is in another country and has customers where A resides. A purchases products in the country where B resides. Now, A and B can form an alliance where B takes care of shipping products to A including A's products while A takes responsibility to distribute B's products to its customers. In this case B does not have to setup a warehouse where A lives and A does not have to travel to B's place to search for suppliers.

How to Decide Whether to Buy, Ally or Do-It-Yourself?

The decision on the strategic growth to opt for depends on several factors including how fast(urgency) the company wants to expand, uncertainties in specific regional markets, technological change, and market fluctuations. It also requires determing the capabilities requires which could be soft skills or physical goods or resourses. Finally, the degree of modularity of the capabilities alos infleunces the decision. Typically, emphasis is layed on the following factors:

1. **Urgency**
   If the growth strategy has a high degree of urgency then opt for *M&A* or *Alliance*. E.g the decision of Geely to acquire Volvo gave them fast access to the european market.
2. **Uncertainty**
   If a company doubt whether their product will do well in the market or they are uncertain about the

market because of fluctuations, then they are better off forming an alliance. In this case, the risk of failure is reduced. Avoid organic growth if the cost of investment is huge.
3. **Types of Capabilities**
If the company require machinery to boost production, then M&A is the right path to follow. But then, if the company, needs soft capabilities like know-how, then organic growth is the best option as it will allow the company to make adequate use of it resources.
4. **Modularity of Capabilities**
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UNIT 8: HOW TO EVALUATE STRATEGIES?

Whether a chosen strategy is the best is best known after its implementation is completed. To reduce the risk of implementing a strategy that might fail, mamangement can analyse its *suitability, acceptability and feasibility* using various criteria.

1. **Suitability**
The SWOT analysis is a method used to evaluate the internal and external conditions sorounding the business. Beside this, ther is the PESTEL analysis, Porter's Five Forces, analysis of strategic possibilities, product life cycle, benchmarking and competitive adavantage that are equally techniques that enable organisation to self evaluate itself and its position in the market with respect to competitors. A strategy is suitable when it, at the point of it evaluation, can enable the company achieve its set goals or objectives obtained after a thorough evaluation of the company is completed. Usually the information obtained from analysis is enough to derive and rank several strategies. The best strategy is usually flexible and adaptable.

2. **Acceptability**
This approach looks at the expected performance results of the strategy. Basically, it should meet the expectations of the stakeholders(e.g management) of the organisation. Management could focus on risk of failure, return on investment and reaction of shareholders. The risk level indicates the accuracy of the strategy to achieve expected results. The risk level is of the strategy is determined via questioning and testing its assumptions and how the strategy influences the liquidity of the organisation. Liquidity is the financial means readily available to an organisation. Shareholders are most often interested in the return like *Return on capital employed (ROCE)*. This indicator measures how effective and profitable the company uses its invested capital.

3. **Feasibility**
This approach looks at the capabilities and resources that the organisation has to pursue the strategy they want to implement. Resources included, human resource, financial resource, technological resource, hard capabilities like machines etc.

Implementing Strategy

To effectively implement a strategy, the structure and processes of the organisation need to be considered and redesigned. The formation of internal structures and processes are part of the implementation of the strategy. Four main areas should be considered in the implementation plan. These are:

1. **Organisation** Roles and Responsibilities as in an organigram. This includes how decisions are made and the organisational structure also determines how information flows in the company.

2. **Human Resource Management**

3. **Controlling Systems**
   Controlling: This is a financial management and steering system for the management of an organization in order to control the organization

4. **Corporate Structure**
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